

CMA REGULATORY SANDBOX — APPLICATION

CHACADOM INVESTMENTS

Testing Plan

A twelve-month, four-phase test of fractional real-estate investment on the Keja.ai platform: hard participation and exposure caps, suitability screening before subscription, segregated client money, phase gates reported to the Authority, and a rehearsed exit through full licence, letter of no objection or wind-down.

PRODUCT UNDER TEST

Keja.ai Tokenization Pilot

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ISSUED

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1. Executive Summary

Chacadom Investments ("Chacadom", "the applicant") applies to participate in the Capital Markets Authority (CMA) Regulatory Sandbox to test the Keja.ai Tokenization Pilot — a digital platform that enables fractional investment in vetted Kenyan real-estate assets, with interests recorded on a permissioned distributed ledger and settled through regulated payment channels. The pilot seeks to answer a specific regulatory question: whether fractional real-estate interests, offered with hard investment caps, mandatory disclosures and segregated client funds, can be distributed to retail investors in Kenya without the consumer harm that unregulated property schemes have historically caused.

The test will run for up to 12 months from the date of the CMA participation letter, in four controlled phases with pre-agreed participant and exposure caps. At every phase boundary the applicant will pause enrolment, evaluate results against the success metrics in Section 7, and report to the CMA before proceeding. Consumers are protected throughout by the safeguards described in the accompanying Safeguards and Risk-Management Plan, including suitability screening, a per-investor cap, a cooling-off period, segregated client accounts and a documented complaints process.

This Testing Plan sets out the objectives, scope, methodology, metrics, reporting cadence and exit strategy for the pilot. Together with the Safeguards and Risk-Management Plan, the certified incorporation documents, the certified list of directors and shareholders, and the CVs of founders and key management, it completes the documentary requirements for this application. The non-refundable application fee of KES 10,000 accompanies the submission.

Regulatory process — as published by the CMA

Application and documents are submitted to the Capital Markets Authority through the Regulatory Sandbox portal (sandbox.cma.or.ke). The CMA reviews a complete application within 14 working days; if approved, the applicant receives a letter to participate and may test live for up to 12 months. Exit from the sandbox is by one of three routes: a full licence, a letter of no objection, or rejection.

2. Applicant and Product Profile

2.1 The applicant

Chacadom Investments is a Kenyan real-estate investment and advisory firm operating from Westlands, Nairobi. The company is incorporated in Kenya, satisfying the sandbox eligibility requirement of Kenyan incorporation (or, in the alternative, licensing by a securities regulator abroad). Since 2022 the firm has transacted and advised on more than KES 1.2 billion of property across Nairobi and the growth corridors, running sales, leasing, advisory, land assembly, marketing and portfolio management desks. Certified incorporation documents, the certified list of directors and shareholders, and CVs of the founders and

key management are appended to this application, and the verification desk may be reached at any time at info@chacadom.com or +254 108 611 387.

Keja.ai is the applicant's digital flagship: an AI-assisted property marketplace with a cross-agency trust layer that labels every material statement as fact, estimate or assumption and verifies listings against official land records. The marketplace is already live in demonstration form; the tokenization module is the subject of this sandbox test. The applicant's strategy is deliberately sequenced: prove verification and honest disclosure first, then introduce investment mechanics under supervision, and only afterwards seek full authorisation.

2.2 The product under test

The Keja.ai Tokenization Pilot will allow a capped pool of Kenyan retail and diaspora investors to purchase fractional interests in specific, pre-vetted income-producing properties. Each offering will be documented in a digital investment memorandum stating the asset, the fraction price, the projected net yield, the assumptions behind that projection, the fee stack, the holding vehicle, and the exit mechanics. Interests will be recorded on a permissioned ledger whose records mirror a definitive register maintained by the applicant. Rental income, net of costs, will be distributed quarterly, and the platform will display every distribution alongside its computation. No secondary trading is proposed during the test; transfers will be limited to permitted successions and the operator's buy-back facility at the then-current valuation.

The pilot deliberately excludes anything that would make the product a complex traded instrument: there is no leverage, no derivative exposure, no crypto-asset wallet requirement, and no promise of liquidity. The product is a fractional claim on identified bricks and mortar, wrapped in the same verification discipline the applicant applies to its ordinary property business.

3. Innovation and Regulatory Rationale

Kenyan retail participation in real estate is concentrated in two channels: whole land parcels, which lock up capital and reward only those who can already afford an entire plot, and unregulated "groups" and off-plan schemes, which have produced repeated losses through fraud, failed conveyancing and mis-selling. Meanwhile, regulated collective investment vehicles in real estate remain out of reach for small-ticket investors because of distribution economics. The innovation under test is a low-cost, verification-first distribution channel for fractional real-estate interests: marketplace discovery, digital disclosure, algorithmic pre-screening of buyers, and ledger-recorded ownership — all in one supervised environment.

The regulatory question the test is designed to answer is narrow and testable: what conduct, disclosure and prudential rules should apply to fractional real-estate interests offered to Kenyan retail investors so that access is widened without importing the failure modes of the unregulated market? The applicant expects the test to generate evidence on suitability screening, disclosure comprehension, complaints incidence,

funds segregation in practice, and the true operational cost of retail-scale administration — evidence the CMA can use in shaping final rules, and which the applicant will use in preparing a full licence application.

"The pilot is designed so that its failure is cheap and its learning is transferable: small caps, hard stops, and a wind-down path that returns every shilling of client money."

4. Testing Objectives and Hypotheses

The test pursues five objectives, each paired with a falsifiable hypothesis and a measurement instrument. Objectives are deliberately few: a sandbox test that tries to prove everything proves nothing. The metrics in Section 7 map one-to-one onto these objectives so that the CMA can audit progress without interpretation disputes.

#	Objective	Hypothesis under test	Instrument
O1	Safe onboarding of retail investors	Suitability screening and hard caps can keep investments affordable without concentrating loss risk on vulnerable investors	Onboarding analytics; cap-breach reports
O2	Comprehensible digital disclosure	Investment-memorandum-style disclosure delivered digitally achieves measured comprehension at least equal to paper-based norms	Comprehension quiz scores; complaint themes
O3	Reliable income administration	Quarterly distributions and their computation can be administered accurately at retail scale using ledger-recorded interests	Distribution reconciliation; error log
O4	Robust client-money controls	Segregated accounts plus staged drawdowns eliminate misuse of client funds during the test	Trust-account audit trail; monthly reconciliations
O5	Evidence for final rules	The collected data supports a proportionate conduct rule-set for fractional real-estate offerings	Phase reports; final test report

Table 1 — Testing objectives, hypotheses and measurement instruments.

5. Scope and Test Parameters

5.1 In scope

The test covers the end-to-end retail journey for fractional interests in specific properties located in Nairobi and its immediate growth corridors: discovery on Keja.ai, disclosure, suitability screening, subscription, ledger recording, income distribution, statements, complaints, and (where triggered) the buy-back facility and wind-down. Only properties that have passed the applicant's verification desk — title search, encumbrance check, physical inspection and independent valuation — are eligible. At most three underlying assets will be offered during the test, so that each offering can be supervised intensively.

5.2 Out of scope

- Secondary market trading or any transfer mechanism other than permitted successions and operator buy-back.
- Leverage, margin, or any financing offered to investors in connection with their subscription.
- Crypto-asset wallets, convertible instruments, or cross-border marketing outside the CMA's jurisdiction.
- Non-retail institutional distribution; if institutional demand appears it will be deferred to the licensing phase.
- Any representation, express or implied, of guaranteed returns or capital protection.

5.3 Test limits and caps

Hard caps constrain the blast radius of any failure. Each cap is enforced in platform logic and independently checkable in the reports to the CMA; a breach of any cap triggers automatic suspension of new subscriptions and notification to the CMA within two business days.

Parameter	Phase 1	Phase 2	Phase 3	Phase 4
Maximum participants (cumulative)	100	350	800	1,500
Maximum subscription per investor (KES)	25,000	50,000	75,000	100,000
Maximum single-investor exposure across all offerings (KES)	50,000	100,000	150,000	200,000
Maximum total capital raised (KES)	2,500,000	17,500,000	45,000,000	90,000,000
Underlying assets offered (cumulative)	1	2	3	3

Table 2 — Hard caps by phase. Caps are cumulative ceilings, never targets.

6. Testing Methodology and Phasing

The test runs for up to 12 months from the participation letter, in four phases with a pause-and-gate between each. No phase begins until the CMA has received the prior phase report and raised no objection. This converts the pilot into a sequence of reversible commitments rather than a single irreversible launch, and gives the Authority three natural intervention points in addition to its general powers.

Phase	Window	Focus	Gate to proceed
Phase 0 — Mobilisation	Weeks 0-4	Finalise legal wrappers, trust account, ledgers, disclosure templates, staff training and dry-run of the full journey with internal test users; no public enrolment	CMA notification; readiness checklist submitted
Phase 1 — Controlled pilot	Months 1-3	First asset live; up to 100 invited participants (diaspora and walk-in cohorts from existing Chacadom client base); intensive supervision	Phase 1 report; zero material incidents
Phase 2 — Measured expansion	Months 4-6	Second asset; comprehension and complaints data collection at scale; first quarterly distribution cycle completed and audited	Phase 2 report; distribution reconciliation signed off
Phase 3 — Scale test	Months 7-9	Third asset; load-testing of administration at 800 cumulative participants; stress-test of buy-back facility	Phase 3 report; stress-test results accepted
Phase 4 — Consolidation & exit	Months 10-12	Final cohort to 1,500 participants; preparation of the full licence application, the letter-of-no-objection submission, or the wind-down plan	Final test report and exit meeting

Table 3 — Twelve-month phased plan with gate conditions between phases.

Methodology controls follow experimental discipline where practical: participants are randomly invited within eligible cohorts rather than cherry-picked; disclosure comprehension is measured with a short standard quiz before subscription is confirmed; and every material incident is logged with cause, impact, remedy and recurrence test. Data collection instruments are version-controlled and their change history is reported to the CMA with each report.

7. Success Metrics and Evaluation Criteria

Success criteria are agreed in advance so that the exit decision is an act of measurement rather than advocacy. Each metric has a green threshold (target met), amber (tolerable with remediation) and red (fails the objective). Two or more red metrics, or any single red on a consumer-protection metric, trigger the wind-down path in Section 10.

Metric	Green	Amber	Red
Disclosure comprehension (quiz pass rate before subscription)	≥ 85%	70-84%	< 70%
Complaints upheld per 100 active investors	≤ 2	3-5	> 5
Complaint resolution within published SLA	≥ 95%	85-94%	< 85%
Distribution accuracy (payments matching computation)	100%	99.5%+	< 99.5%
Client-money reconciliation exceptions unresolved after 5 days	0	1	≥ 2
Cap or limit breaches reaching consumers	0	0	≥ 1
Suitability rejections correctly enforced (spot-audit)	100%	98-99%	< 98%
Material incidents (funds, ledger, data)	0	1 minor	≥ 1 major or 2 minor

Table 4 — Success thresholds. Consumer-protection metrics are marked in the phase reports.

8. Consumer Protections During the Test

The protections in this section are the consumer-facing summary of the fuller Safeguards and Risk-Management Plan that accompanies this application. They apply from the first day of Phase 1 and cannot be relaxed without CMA notification: eligibility and suitability screening before any subscription is accepted; a hard per-investor cap enforced by the platform; plain-language digital disclosure with a comprehension check; a seven-day cooling-off period with a full refund; client money held in a segregated account at a regulated bank, released only against verified completion milestones; quarterly statements showing distributions and their computation; and a complaints process with a published response time and escalation to the applicant's compliance officer, then to the CMA.

No investor will be accepted who cannot demonstrate understanding of the risk factors, and no marketing material will be published that uses projected yields without the assumptions displayed alongside. The platform will carry a persistent banner and disclosure footer stating that the service is a CMA sandbox test, that investments are not covered by a compensation scheme, and that capital is at risk. These are

minimum standards; the accompanying plan adds KYC, AML, data-protection and technology controls on top.

9. Data Collection and Reporting to the CMA

The applicant will report to the CMA on a fixed cadence: a short monthly operating return (enrolment, subscriptions, complaints, incidents — within 10 business days of month end); a phase report at each gate (against Tables 1-4); and a final test report within 30 days of test end. Incident notifications are exception-based: cap breaches within two business days; any client-money, ledger-integrity or data-protection incident within 24 hours of detection. All reports will state assumptions, data lineage and known gaps, in the same fact/estimate/assumption discipline that Keja.ai applies to property data.

Data collected during the test is the minimum necessary for the metrics in Section 7 and is handled under the Kenya Data Protection Act, 2019 as described in the Safeguards and Risk-Management Plan. Records will be retained for the period required by law and made available to the CMA on request, including raw ledger extracts, payment reconciliations and complaint files.

10. Exit Strategy and Transition Plan

The test ends by one of three routes published by the CMA: a full licence, a letter of no objection, or rejection. The applicant will choose (with the CMA) based on the evidence, and maintains a current plan for each route: (a) Full licence — the final report doubles as the evidence base for a full authorisation application, with the migration of pilot records into the licensed environment under a CMA-approved conversion protocol; (b) Letter of no objection — the product pauses at pilot scale while the applicant decides on the licence route, with existing investors held to maturity or bought back; (c) Rejection or voluntary wind-down — new subscriptions stop immediately, underlying assets are sold or held to income, client money and proceeds are returned to investors in the wind-down order required by the CMA, and the platform is placed in read-only mode with records preserved.

Wind-down is rehearsed, not improvised: the buy-back facility is stress-tested in Phase 3, and a wind-down runbook — covering investor communication templates, the return-of-funds waterfall, ledger archival and CMA reporting — is maintained from Phase 0 and updated at each phase gate. In every exit route, no investor outcome is left to the applicant's discretion: the runbook specifies who is repaid, in what order, on what timetable, and how disputes are escalated.

11. Governance, Team and Document Control

Day-to-day responsibility for the pilot sits with the Chief Operating Officer, supported by a compliance officer with direct escalation to the board and an independent reporting line to the CMA. The board receives a monthly pilot report. Phase gates, cap changes and any deviation from this plan require board approval and CMA notification. The management team's CVs accompany this application, alongside the certified incorporation documents, the certified list of directors and shareholders, and the receipt for the KES 10,000 non-refundable application fee. This document is version-controlled; material amendments will be re-submitted to the CMA before taking effect.

Document control

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